



Are Europe's Borders
Actually Working?

REVIEW

WSJ

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Flying Private
Is Easier Than
You Think

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What's News

Business & Finance

◆ **The U.S. labor market** shed jobs in July, an unexpected contraction likely to renew questions about the economy's fundamental strength at a time when it is also facing elevated inflation. **A1**

◆ **U.S. stocks rose** over a week capped by a record for the S&P 500. The broad index gained 3.6% in the five sessions ended Friday and the Nasdaq and Dow rose 5.2% and 3%, respectively. **B10**

◆ **OpenAI halted some** work on a coming artificial-intelligence model after evaluations led the company to conclude it "cannot rule out critical cyber capabilities." **B9**

◆ **AI-battered hedge fund** Situational Awareness made a big bet on Source Foundry, a private company aiming to reinvent the way chips are manufactured. **B10**

◆ **Wendy's withdrew** its outlook and slashed its quarterly dividend as the fast-food chain struggles to turn its business around. **B9**

◆ **Ford told car dealers** that it intends to produce a four-door, gasoline-powered version of its popular Mustang for the first time. **B9**

◆ **Under Armour cut** its revenue outlook for the year as demand for the sportswear brand's products continued to be tepid. **B9**

Worldwide

◆ **Iran vowed to bar** U.S. Navy warships from passing through the Strait of Hormuz as part of an agreement to reopen the waterway, pressing its goal of curtailing America's decades-old military presence in the Persian Gulf. **A1**

◆ **Turkey, Saudi Arabia** and Pakistan signed a mutual-defense agreement as they look for new ways to shore up their security after years of upheaval in the Middle East. **A6**

◆ **Sen. Bill Cassidy** of Louisiana said he would vote to confirm Todd Blanche as attorney general, clearing the nominee's path to lead the Justice Department. **A4**

◆ **Trump revived his** attempt to fire Federal Reserve governor Lisa Cook, pressing her to respond to allegations of mortgage fraud that Cook has called baseless. **A2**

◆ **Defense Secretary Pete** Hegseth revoked the security clearance of a former high-ranking Biden administration defense official for allegedly leaking classified information about Air Force One. **A4**

◆ **Abelardo de la Esperiella** was sworn in as Colombia's president in the symbolically significant city of Cali, vowing to suppress drug gangs. **A9**

◆ **A group of New York City** homeowners sued to delay the rollout of Mayor Zohran Mamdani's pied-à-terre tax, which applies to properties valued at \$5 million or more. **A3**

PEGGY NOONAN
Socialism is here—
and it's serious. **A13**

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Thai Teen Goes on School Rampage



FRANTIC: Family members reunited with children after a 14-year-old boy opened fire Friday at a school outside Bangkok, killing five staff members and injuring more than 20 people. The attacker, who took his own life, had earlier shot to death his two grandparents, police said. **A8**

Facing AI 'Apocalypse,' Software Companies Race To Reinvent Themselves

Generative artificial intelligence is steamrolling
the once booming software-as-a-service industry

By KATE CLARK

Sahil Aggarwal's timing appeared to be perfect for launching his software company in 2021. He raised nearly \$30 million from investors, and by the following year, his startup, Rattle, was valued at more than \$100 million.

Then along came generative artificial intelligence that could easily automate the kind of administrative work Rattle specialized in. Aggarwal tried to integrate AI, but said it felt like attaching an engine onto a horse-drawn carriage. The company teetered on the brink.

"If two engineers can reproduce your entire product in a matter of a few weeks, then you deserve to be killed," he said.

Generative AI is steamrolling the once booming industry known as software-as-a-service, or SaaS, where customers access software over the internet, typically on a subscription basis. SaaS exploded in the 2010s, as companies such as Slack and Zoom raised hundreds of millions of dollars from

venture-capital firms and others went public in blockbuster IPOs.

Now people in Silicon Valley are talking gloomily about the "SaaSocalypse." AI threatens to make some software tools obsolete, particularly those built around narrow tasks such as legal drafting, research and other repetitive work.

Shares of public SaaS companies such as Workday, Salesforce and Adobe have fallen more than 30% from their peak over the past year. IBM lost \$69 billion in value in a single day in July after it issued a profit warning as customer spending shifted from software to AI hardware. Earlier this week, Italian tech conglomerate Bending Spoons agreed to acquire workflow software company Airtable for \$1.3 billion, well below the company's last private valuation of \$11 billion.

SaaS companies are under immense pressure to reinvent themselves. Inside boardrooms, leaders have discussed the risk that

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The One Place Where Wine Still Rules: 30,000 Feet in the Air

* * *

Vineyards are suddenly competing
for airlines' business, and fliers are all in

By LAURA COOPER
AND ALISON SIDER

When Max Franks boarded a flight to Fresno, Calif., earlier this year, he had a few things to help pass the time: two dozen bottles of wine, from Pinot Noir to Sauvignon Blanc.

"It's amazing how many friends you can make on an airplane with 24 bottles of wine," said Franks, who made it his mission to open each one.

Pulling out corks at 30,000 feet is part of the job for Franks, who develops wines to serve on flights. But he has plenty of company,

thanks to one of the biggest anomalies in alcohol consumption: While wine is losing its appeal among earthbound drinkers, it's increasingly the drink of choice in the air.

With sales slumping, winemakers that once turned up their noses at airlines are competing to get their best bottles on board. Airlines see it as a marketing tool for their higher-paying fliers. As for the passengers, it's hard to turn down fine wine when you're captive, bored and often in vacation mode. And hey, it's free, at least at the front of the plane.

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Air-ation

Russia's Star Startup Is a Sanctions Buster

By ALEXANDER OSIPOVICH

Russia's war effort in Ukraine might be faltering, but the Kremlin has a high-tech superweapon to neutralize Western sanctions.

It is called A7. The state-backed payment network moves money in and out of Russia, defying U.S. and European efforts to isolate Moscow from the global-banking system. A7 helps Russia pay for everything from military-drone parts to luxury cars to imported fruit, using a mix of cryptocurrency and bank transactions while disguising its real purpose with shell companies and fake AI-generated invoices, researchers say.

Behind its rise is a convicted money launderer. A7's founder, Ilan Shor, is best known for his role in one of the biggest bank heists in his-

tory: a scheme to extract \$1 billion from three banks in Moldova, one of Europe's poorest countries, in 2014. A Moldovan court convicted him of fraud and money laundering for helping orchestrate the theft, but he fled the country while under house arrest.

Shor has denied the allegations and called them politically motivated. The businessman, who is married to a Russian pop singer, now lives near Moscow. A boyish-looking 39-year-old, Shor goes by "Travolta" in A7's internal company chat, according to leaked messages circulated by hackers last year.

Representatives of A7 and Shor didn't respond to requests to comment.

Founded less than two

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◆ **Russia is tied to drone** in Germany..... **A9**

By JUSTIN LAHART

This week's anemic employment report rekindled a burning question for the U.S. economy: How many new jobs does it actually need?

The Labor Department on Friday reported that the U.S. shed 23,000 jobs in July, and it also lowered its May and June figures. With that, the data now show the economy added 44,000 jobs a month over the past six months. That isn't as weak as the back half of last year, but it is far cry from what people used to think of

as healthy.

Yet the unemployment rate has fallen to 4.1% from 4.4% this year. That is an indication the U.S. might not need to generate that many jobs to keep up with a dwindling supply of new workers.

The youngest of the baby boomers are turning 62 this year—eligible for Social Security retirement benefits—while there is a low supply of younger, U.S.-born workers to take their place. Meanwhile, President Trump's immigration crackdown has limited the

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EXCHANGE



NO TABLES
Behind the fierce
and messy business
of restaurant
reservations. **B1**

Iran Sees A Path to Oust U.S. From Gulf

Iran is vowing to bar U.S. Navy warships from passing through the Strait of Hormuz as part of an agreement to reopen the waterway, pressing its goal of curtailing America's decades-old military presence in the Persian Gulf.

By David S. Cloud,
Summer Said,
Alexander Ward
and Benoit Faucon

Tehran's threat highlights the ascendancy within the Iranian leadership of hard-liners in the Islamic Revolutionary Guard Corps, who have long sought the ouster of American forces from the region. Though Iran has taken a devastating military beating, its leaders now see an opportunity to use negotiations on ending the six-month war to dislodge the U.S. as the dominant power in the Persian Gulf.

Iranian officials have publicly made the threat amid negotiations with Oman, the sultanate on the strait's southern coast leading discussions with Tehran. U.S. officials have told mediators they won't accept Iranian restrictions or tolls on Hormuz traffic, one of several conflicts between Washington and Tehran that have delayed completing an agreement.

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◆ **Saudi Arabia, Turkey and** Pakistan sign pact..... **A6**